Illustrative — For Discussion

GPU-Backed Credit

Market Price Monitoring — Illustrative Covenant Language

March 2026

Application	Market Price Monitoring — profile-agnostic surveillance covenant
Reference Rate	CRI-H100 · ccir.io
Structure	Two-threshold disclosure mechanic · No financial consequence
Threshold 1	20% decline from Closing Date Rate → borrower written notice within 10 Business Days [illustrative]
Threshold 2	35% decline from Closing Date Rate → Calculation Period converts from quarterly to monthly [illustrative]
Compatible with	Profile A (contracted revenue), Profile B (mixed-book), or any GPU-backed credit agreement
Status	Illustrative. All parameters set by counsel and lenders.

CCIR does not participate in or structure credit transactions referencing CRI rates, and does not provide advice regarding any such transaction. This document illustrates how CRI-H100 may be referenced as a market price monitoring rate in GPU-backed credit structures. All borrower details, rates, trigger levels, and covenant structures are hypothetical, illustrative, and entirely non-prescriptive. All parameters, thresholds, and formula inputs shown are examples only — they are credit judgments determined by counsel and lenders, not by CCIR. CCIR does not recommend, endorse, or prescribe any particular covenant structure, trigger level, threshold, or enforcement mechanism. CCIR is a reference rate provider. This is not legal advice.

1. Why a Named Reference Rate for Market Price Monitoring

GPU rental rates are not stable. CRI-H100 fell more than 60% over 18 months. A lender whose credit agreement contains no named reference rate for the on-demand market has no covenant mechanism to detect that deterioration as it happens — only after it has already propagated into a revenue shortfall or collateral deficiency.

A Market Price Monitoring covenant addresses this directly. It does not set a financial threshold, require prepayment, or adjust a formula. It requires only one thing: when CRI-H100 declines materially from its level at closing, the borrower delivers written notice within a specified period. The lender receives market-referenced disclosure before deterioration has compounded into a financial covenant breach.

> **The lowest-friction CRI-H100 citation.** Because this covenant has no direct financial consequence — no prepayment trigger, no formula adjustment, no Event of Default — it can be added to almost any GPU-backed credit agreement without a negotiating fight. Once CRI-H100 is named in the credit agreement, the citation supports all downstream uses: borrowing base formulas, collateral coverage covenants, and UCC §9-627 defensibility at disposition.

2. Two-Threshold Mechanism

The covenant operates through two independently calibrated thresholds. Both are measured against the Closing Date Rate — the CRI-H100 published on or immediately prior to closing, set in a schedule and fixed for the life of the facility.

Threshold	Trigger	Consequence

Threshold 1 — Notice	Rate Decline Percentage exceeds 20% on any Calculation Date [illustrative — threshold is a credit judgment set at underwriting]	Borrower delivers written notice within 10 Business Days: (i) fleet utilization and revenue summary; (ii) market assessment; (iii) projected revenue impact for next two Calculation Periods. No financial consequence.
Threshold 2 — Frequency	Rate Decline Percentage exceeds 35% on any Calculation Date [illustrative — threshold is a credit judgment set at underwriting]	Calculation Period converts from quarterly to monthly until Rate Decline Percentage falls below 25% for 2 consecutive Calculation Dates. No prepayment. Not an Event of Default.

3. Illustrative Covenant Language

The following is illustrative only. Counsel is responsible for all operative agreement language. All threshold levels, defined term structures, and enforcement mechanics are credit judgments set by counsel and lenders.

> *SECTION 7.__ — MARKET PRICE MONITORING — Surveillance Covenant*
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> *"Closing Date Rate" means the CRI-H100 Reference Rate as published by Compute Credit Index Research LLC (CCIR) on or immediately prior to the Closing Date, as set forth in Schedule 1.01 to this Agreement.*
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> *"Rate Decline Percentage" means, as of any Calculation Date, (Closing Date Rate minus CRI-H100 Reference Rate) divided by Closing Date Rate, expressed as a percentage. A negative result (spot rate above the Closing Date Rate) shall be deemed zero for purposes of this Section.*
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> *If, as of any Calculation Date, the Rate Decline Percentage exceeds 20% (a "Rate Decline Notice Event"), Borrower shall, within 10 Business Days, deliver written notice to the Administrative Agent including: (i) current fleet utilization and contracted revenue summary; (ii) Borrower's assessment of current GPU rental market conditions; and (iii) Borrower's analysis of any anticipated impact on GPU Rental Revenue for the next two Calculation Periods. [20% is illustrative — threshold is a credit judgment set at underwriting.]*
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> *If, as of any Calculation Date, the Rate Decline Percentage exceeds 35% (a "Rate Decline Event"), the Calculation Period shall convert from quarterly to monthly until the Rate Decline Percentage falls below 25% for 2 consecutive Calculation Dates. [35% / 25% / 2 periods are illustrative — thresholds are credit judgments set at underwriting.]*
>
> *A Rate Decline Notice Event and a Rate Decline Event are surveillance mechanisms only. Neither is itself an Event of Default, and neither requires repayment, additional collateral, or adjustment of any formula or advance rate.*
>
> *If CRI-H100 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.*

4. How the Covenant Works

The Closing Date Rate is the single most important drafting step for this covenant. It is set in a schedule at closing and fixed for the life of the facility. Both parties can independently reproduce any historical CRI-H100 rate from the CCIR data repository at computecreditindex.com — there is no discretion in determining whether a threshold has been crossed.

The Rate Decline Percentage is a simple arithmetic calculation from two publicly available figures: the scheduled Closing Date Rate and the current published CRI-H100. Any counterparty — borrower, lender, agent, or expert witness — can verify the calculation independently at any point in the facility term.

> **On setting the thresholds.** The correct threshold levels depend on the facility's LTV cushion at origination, the term remaining, and the borrower's contract coverage at closing. A facility with a larger LTV cushion may warrant wider thresholds; a facility at higher LTV with significant spot exposure may warrant tighter ones. CCIR's published rate history supports backtesting proposed thresholds against observed CRI-H100 movements — CCIR does not recommend specific levels.

5. Illustrative Scenario Analysis

The following scenarios illustrate how the two thresholds respond to CRI-H100 movements. All threshold levels are illustrative — the behavioral logic is what matters, not the specific numbers. Closing Date Rate assumed at $2.18/GPU/hr.

Scenario	CRI-H100 vs. Closing	Threshold 1 — Notice (20%)	Threshold 2 — Frequency (35%)
Baseline	**CLEAR** At $2.18 — no decline	**NOT TRIGGERED** Rate Decline 0% — below 20% threshold	**NOT TRIGGERED** Rate Decline 0% — below 35% threshold
Moderate decline ~20–30% below closing	**DECLINING** $1.53–$1.74 range	**TRIGGERED** Borrower notice due within 10 Business Days	**NOT TRIGGERED** Below 35% threshold — quarterly frequency maintained
Significant decline >35% below closing	**MATERIAL** $1.42 or below	**TRIGGERED** Prior notice requirement already active	**TRIGGERED** Calculation Period converts to monthly until recovery
Recovery Rises back above 25% threshold	**RECOVERING** Rate improving	**MONITORING** Active until Rate Decline falls below 20%	**RESETTING** Monthly frequency maintained until 2 consecutive dates below 25%
Spot rise Above closing rate	**CLEAR** Rate Decline deemed zero per definition	**NOT TRIGGERED** No notice required	**NOT TRIGGERED** No frequency conversion

Key observations:

The covenant is entirely observable.

Both the Closing Date Rate (fixed in a schedule) and the current CRI-H100 (published daily by CCIR) are independently verifiable by any party at any time. No discretionary determination is required to assess whether a threshold has been crossed. This is the same structural advantage that makes SOFR-based covenants enforceable in syndicated facilities.

The two thresholds serve different purposes.

Threshold 1 (notice) surfaces information — market context, fleet utilization, revenue outlook — before deterioration has compounded. Threshold 2 (frequency) increases checkpoint cadence, giving the lender more frequent visibility into borrowing base and financial covenant status without imposing a financial consequence. Neither threshold is itself an Event of Default.

The Rate Decline Percentage floors at zero.

If CRI-H100 rises above the Closing Date Rate, the Rate Decline Percentage is deemed zero. This prevents a rising market from triggering the covenant and makes the Rate Cap provision in the §7.02 Collateral Coverage formula the appropriate mechanism for handling spot-above-contract scenarios in contracted-revenue structures.

6. Relationship to Other CRI Covenant Applications

The Market Price Monitoring covenant is designed to stand alone or to complement a fuller covenant framework. It is compatible with both CCIR illustrative profiles:

With Profile A (contracted revenue). The Market Price Monitoring covenant supplements §7.02 Collateral Coverage and §7.05 Contract Premium Ratio by providing an early disclosure mechanism. The Rate Decline Notice Event at 20% may fire before §7.02 tightens materially, giving the lender narrative context before a financial covenant event. The Closing Date Rate used in this covenant can be the same rate cited in §7.05 CPR calculations.

With Profile B (mixed-book). For a spot-market operator, the Rate Decline Notice Event is the primary early-warning mechanism alongside §7.01 Market Capture. A borrower who is efficiently capturing a declining market (§7.01 passing) but experiencing a 25%+ rate decline should still be surfacing market context to lenders. The Market Price Monitoring covenant provides that mechanism without imposing a financial trigger that a well-performing borrower in a weak market does not warrant.

7. Why a Named Reference Rate

Neutrality. A rate defined by the lender favors the lender. A rate defined by the borrower favors the borrower. CRI-H100 is published by Compute Credit Index Research LLC, which holds no position in the GPU compute market it measures. The same structural demand that produced SOFR after LIBOR applies here.

Independent verifiability. Syndicated facilities need a rate all lenders can independently verify. A proprietary methodology held by one party cannot serve as the reference for a multi-lender facility. CRI-H100 is reproducible by any party with access to the underlying sources; the methodology is published at computecreditindex.com.

Post-LIBOR governance standard. Bank compliance functions have developed institutional resistance to reference rates that lack independent governance and published methodology. CRI-H100 is IOSCO-aligned. Under UCC §9-627, a commercially reasonable collateral disposition requires a rate that meets the "price current in any recognized market" standard — a named independent rate cited in the credit agreement and verifiable by any party provides that reference at disposition as well as during the facility term.

8. CCIR Rate Reference Support

Structured finance counsel and credit analysts with questions about CRI rate methodology, index definitions, Closing Date Rate verification, or fallback provisions may contact CCIR at research@ccir.io. CCIR will respond to written inquiries within 10 business days.

CCIR does not provide legal advice, does not review or approve credit agreement language, does not recommend covenant thresholds or formula parameters, and does not advise on the regulatory treatment of CRI rate references in any jurisdiction. All parameters, thresholds, and formula inputs in credit agreements referencing CRI rates are determined solely by counsel and lenders.

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